For own Thinking

I. Find out the type of instrument and the reason?

(a) A bill is drawn payable to X or bearer

(b) Bill drawn in London upon a merchant in Chennai and accepted and payable in Bangalore

(c) Bill drawn in Delhi upon a merchant in London and accepted and payable in London

(d) Bill drawn in London on a merchant in Agra and endorsed in Delhi

(e) A Bill drawn by Bajaj Auto Agent on Bajaj Auto Ltd.

(f) Bill drawn by A on Y (an imaginary person not in existence) and endorsed to B

(g) X gives a blank cheque to Y or gives undated cheque to Y

(h) X signs stamped and blank promissory note and keep it locked in his drawer

II. Find out which of the following is a promissory note?

(i) X promises to pay a sum of Rs. 500 on telephone.

(ii) Mr. Y, I owe you Rs. 500

(iii) I promise to pay Y Rs. 500 + some other charge

(iv) I promise to pay Y Rs. 500 on Z's death

(v) I promise to pay Y (myself) Rs. 500

(vi) I promise to pay Y Rs. 500 and to deliver to him my black horse on first January next.

Clues: Answer should be given after reading the characteristics of Promissory note

III. Classify the following endorsement with reasons

(i) No other words except B's signature

(ii) Pay C

(iii) Pay C or order

(iv) Pay C only

(v) Pay C or order for the account of B

(vi) Pay C or order being the unpaid residue of the bill

(vii) Pay C or order on safe receipt of goods

(viii) Pay C Sans Recourse

(ix) Pay C, notice of dishonour dispensed with

For own Thinking

Students may watch youtube videos relating to Negotiable Instruments

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